"credit" might be viewed as shorthand for "debt where the issuer's creditworthiness matters," a reminder that repayment is less than 100% certain in nongovernment securities—more so in some cases than others.

When I joined First National City Bank in 1969, the fixed-income securities we heard about most were bonds. They were overseen there by two bond veterans; their area became a backwater as equities soared, and they ceased publishing bond data when their readership disappeared in the 1970s. Investment-grade bonds were paid little attention over the next few decades.

Attention was paid, however, to the high yield, or sub-investment grade, bonds that began to be issued around 1977–1978. These securities offered yields well above those on investment-grade bonds, they financed a new industry in leveraged buyouts (now called "private equity"), and they exemplified the practice of buying risky securities if they appear to offer more-than-commensurate returns.

Prior to the turn of the century, the word "loans" mostly meant "bank loans," which the lead bank originated and perhaps syndicated to (i.e., shared with) a few other banks. Publicly issued "senior loans," "leveraged loans," or "floating rate loans" began to appear in the early 2000s. These new debt securities are issued by non-investment-grade companies just like high yield bonds; are senior in rank, not subordinated; provide yields that are slightly below those on high yield bonds (due to their seniority); and are characterized by interest rates that float, tied to benchmarks such as LIBOR or SOFR.

Most banks were chastened in the Global Financial Crisis and tightly regulated afterward, such that they were less willing to lend money. This created a vacuum, which nonbank lenders began to fill around 2011. As a result, "private debt" or "direct lending" has become an important asset class, entailing illiquidity, but also higher interest rates in compensation therefore.